RUSSIAN FEDERATION

Table 1	2020
Population, million	144.1
GDP, current US$ billion	1486.9
GNI per capita, US$ (Atlas method)	10690.0
International poverty rate ($1.9)[a]	0.0
Lower middle-income poverty rate ($3.2)[a]	0.4
Upper middle-income poverty rate ($5.5)[a]	3.7
Gini index[b]	37.5
School enrollment, primary (% gross)[b]	104.7
Life expectancy at birth, years[c]	73.1

Sources: WDI, MPO, Rosstat.
(a) Most recent value (2018), 2011 PPPs.
(b) Most recent WDI value (2018).
(c) Most recent WDI value (2019).

Russia's economic recovery is set to exceed expectations this year. Rising commodity prices and buoyant external and domestic demand has boosted the projected GDP growth rate to 4.3 percent. However, persistent structural constraints are expected to slow growth in 2022 and 2023. Ably navigating the global low-carbon transition will be key to Russia's outlook in future years and will call for important public policy choices and economic diversification.

Key conditions and challenges

Significant macro-fiscal stabilization efforts undertaken by the government before the COVID-19 pandemic have underpinned Russia's ability to effectively respond to pandemic's adverse social and economic impacts. After providing substantial countercyclical fiscal stimulus and accommodative monetary policy to support the recovery, the authorities are now moving to phase out the stimulus and normalize Russia's policy frameworks. However, the negative effects of the pandemic on growth potential—including those stemming from learning losses, ongoing restrictions on certain service activities, and diminished migrant inflows—will require continued policy attention.

Russia's potential growth rate has been trending downward since the global financial crisis. Faster growth will hinge on the success of efforts to promote economic diversification, reduce the state's economic footprint, level the playing field for the private sector, and improve economic governance— especially as it pertains to state-owned enterprises. Moreover, the carbon intensity of domestic economic activity is about twice the world average, and Russia continues to rely heavily on earnings from fossil-fuel exports. In 2021, Russia announced its interest in stepping up international cooperation on climate change, and in June 2021 a new regulation on greenhouse gases was approved. However, a low-carbon transition will pose significant challenges for the Russian economy unless the government takes preemptive steps to facilitate people centered low-carbon growth.

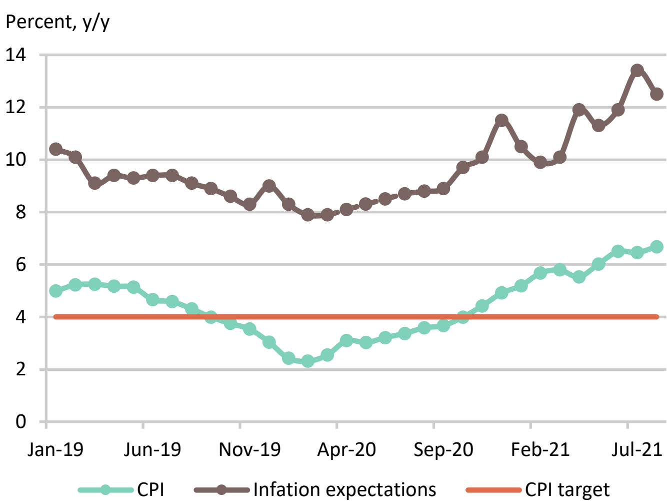
Recent developments

Russia's GDP grew strongly, by 10.5 percent year-on-year, in the second quarter of 2021, with GDP topping its pre-pandemic level. Relatively high commodity prices and external demand combined with a robust recovery in domestic demand as labor markets strengthened, credit growth was robust, and elements of social support were continued, built growth momentum this year.

Russia's third wave of COVID-19 infections peaked in mid-July, but the incidence of new cases remains elevated, and the number of new deaths related to COVID-19 is close to its peak. Vaccination rates are rising, but the share of the population that is fully vaccinated remains below both the world average and the levels of comparator countries.

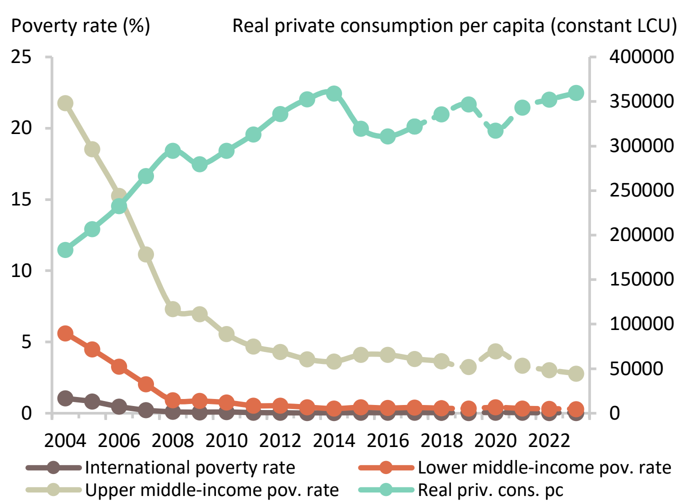
Crude oil extraction continues to be constrained by the OPEC+ production agreement and is not expected to return to pre-pandemic levels before May 2022. Government support programs have buoyed the construction industry, retail trade was supported by the economic recovery and new credit. High-frequency indicators for the third quarter show growth moderating as the output gap narrows. The Russian banking sector has successfully

FIGURE 1 Russian Federation / Consumer price index and inflation expectations



Sources: Rosstat and Bank of Russia.
Note: In April – July 2020, due to the self-isolation measures introduced by the government in connection with the spread of Covid-19 infection regular surveys of the population in the format of personal interviews were suspended.

FIGURE 2 Russian Federation / Actual and projected poverty rates and real private consumption per capita



Source: World Bank. Notes: see Table 2.

weathered the COVID-19 crisis. The banking sector's key credit-risk and performance indicators have remained largely stable since the beginning of the pandemic, with an overall capital-adequacy ratio of 12.4 percent (as of August 1, 2021).

In the first half of 2021, the general government registered a surplus of 2.4 percent of GDP compared to a deficit of 1.8 percent deficit in the first half of 2020. With the removal of emergency support measures primary expenditures dropped by 3.8 percentage points of GDP while economic rebound and higher commodities prices boosted receipts from oil/gas-sector taxes and VAT.

Rebounding domestic demand in a context of persistent supply bottlenecks and elevated global commodity prices pushed the annual inflation rate to a five-year high of 6.7 percent in August, and inflationary expectations are also elevated. These developments prompted the central bank to increase interest rate by a cumulative 250 basis points to 6.75 percent by September 2021.

The labor market has been steadily improving since August 2020, and the unemployment rate fell to 4.5 percent in July 2021, close to its pre-pandemic level. The official poverty rate reached 14.4 percent in the first quarter of 2021, as the impact of the pandemic endured while emergency safety-net measures were phased out. This rate is not strictly comparable to the previous series because of changes in methodology adopted by ROSSTAT in December 2020. In the second quarter, it fell to 13.1 percent, driven by improvements in the labor market and new support for low-income households with children.

Outlook

The GDP growth rate is expected to reach 4.3 in 2021 before declining to 2.8 percent in 2022. With the output gap closing in 2021, growth is expected to moderate toward its trend level and reach 1.8 percent in 2023. A continued global economic recovery, relatively high oil prices, and an improved COVID situation are expected to help consolidate the incipient recovery of domestic demand. A gradual easing of OPEC+ restrictions by end-September 2022 will boost the oil sector's output, while less-stringent COVID measures will benefit several services subsectors. Meanwhile, improved business confidence and high profits for resource-oriented companies will accelerate investment growth. Moderate pressure on bank capitalization is expected in the medium term, as the share of restructured loans is high at 13 percent of all loans. However, following the withdrawal of forbearance in July, asset-quality problems have now largely materialized and are adequately covered by reserves. Rising interest rates, recent changes to the subsidized mortgage-lending program, and new macro-prudential measures are expected to help slow the rapid growth of retail lending (22 percent, year-on-year), which has been driven by mortgages and unsecured loans.

The poverty rate at the upper-middle-income poverty line of US$5.5 per day is expected to decline in 2021 as the economy rebounds, but it is projected to remain above pre-pandemic levels until 2022.

Downside risks have intensified. With low vaccination rates, the evolution of the pandemic remains the primary source of immediate risk. New sanctions and an abrupt tightening of global financing conditions could also worsen Russia's outlook.

TABLE 2 Russian Federation / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2018	2019	2020	2021 e	2022 f	2023 f
Real GDP growth, at constant market prices	2.8	2.0	-3.0	4.3	2.8	1.8
Private Consumption	4.3	3.2	-8.6	7.8	2.5	2.0
Government Consumption	1.3	2.4	4.0	-0.9	-1.0	1.0
Gross Fixed Capital Investment	0.6	1.5	-4.3	4.2	3.6	3.2
Exports, Goods and Services	5.0	1.4	-4.3	5.3	4.9	3.0
Imports, Goods and Services	2.7	3.4	-12.0	15.9	4.2	3.7
Real GDP growth, at constant factor prices	2.8	2.0	-2.7	4.3	2.8	1.8
Agriculture	1.7	3.5	0.2	1.1	1.8	1.8
Industry	2.9	1.5	-3.2	4.2	3.6	2.2
Services	2.8	2.2	-2.6	4.6	2.5	1.7
Inflation (Consumer Price Index)	2.9	4.5	3.4	6.2	4.8	4.0
Current Account Balance (% of GDP)	7.0	3.9	2.4	5.5	4.6	2.7
Net Foreign Direct Investment (% of GDP)	-1.4	0.6	-0.2	-1.1	-0.7	-0.5
Fiscal Balance (% of GDP)[a]	2.9	1.9	-4.0	-0.2	1.5	1.1
Debt (% of GDP)	14.6	14.7	20.4	21.1	21.2	21.4
Primary Balance (% of GDP)[a]	3.8	2.7	-3.2	0.6	2.4	2.0
International poverty rate ($1.9 in 2011 PPP)[b,c]	0.0	0.0	0.1	0.0	0.0	0.0
Lower middle-income poverty rate ($3.2 in 2011 PPP)[b,c]	0.4	0.3	0.4	0.3	0.3	0.3
Upper middle-income poverty rate ($5.5 in 2011 PPP)[b,c]	3.7	3.2	4.3	3.3	3.0	2.8
GHG emissions growth (mtCO2e)	5.4	2.4	-6.5	2.7	3.1	1.3
Energy related GHG emissions (% of total)	95.2	91.6	92.7	91.8	90.4	89.7

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate. f = forecast.

(a) Fiscal and Primary Balance refer to general government balances.

(b) Calculations based on ECAPOV harmonization, using 2018-HBS.Actual data: 2018. Nowcast: 2019-2020. Forecast are from 2021to 2023.

(c) Projection using neutral distribution (2018) with pass-through = 0.87 based on private consumption per capita in constant LCU.